

ECONOMICS PAPER 1

(Mock Test 28)

Time allowed: 1 hour

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Kevin is making plans for the summer holidays. He has several options and his order of preference is shown below:

First option: to learn to drive a car
Second option: to work as an intern at a TV station
Third option: to work as a research assistant in a university

Suppose Kevin's order of preference remains unchanged. Which of the following will lower Kevin's opportunity cost of working as an intern at a TV station?

- A. Kevin finds that he does not enjoy driving a car.
B. The requirements for Hong Kong full driving licence holders to apply for an International Driving Permit are relaxed.
C. The TV station reduces the salary for interns.
D. The market demand for people specialised in the subject in which Kevin works as a research assistant in the university increases.
2. Which of the following statements are normative statements?
- (1) The economic losses caused by network attacks initiated by hackers amounted to billions of dollars.
(2) The government should help private enterprises improve cybersecurity.
(3) Installing a firewall is the best way to prevent network attacks.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)
3. Electric vehicle chargers have been installed in some car parks in Hong Kong to provide charging services to electric vehicle drivers. The above case is related to the _____ question(s) in economics.
- A. 'what to produce'
B. 'what to produce' and 'how to produce'
C. 'what to produce' and 'for whom to produce'
D. 'how to produce' and 'for whom to produce'
4. Ricky is the only owner of an audiovisual production company. He does not have to bear legal responsibility for the company. Which of the following statements **MUST** be true?
- A. The company needs to disclose its accounting information to the public.
B. The company can raise capital by issuing shares or bonds to the public.
C. Ricky's loss is confined to the amount of his investment.
D. The company will no longer exist if Ricky dies.
5. Some bus compartments are equipped with USB charging ports, and passengers can use the charging ports free of charge. These charging ports are generally allocated on a first-come-first-served basis.
- These charging ports are _____, because _____.
- A. public goods ... these charging ports are free for the public to use
B. public goods ... these charging ports are non-rival in consumption
C. private goods ... these charging ports are excludable in consumption
D. private goods ... anyone can use these charging ports on a first-come-first-served basis

6. The following table shows the employment distribution of different types of production in an economy:

	2018	2021
Primary production	5%	4%
Secondary production	15%	11%
Tertiary production	80%	85%

Based on the above table, we can conclude that from 2018 to 2021,

- A. the overall number of employment remained unchanged.
- B. the relative importance of primary production in terms of employment decreased.
- C. the number of workers engaged in secondary production decreased.
- D. the contribution of tertiary production to GDP increased.

7.

	Firm A	Firm B
Number of workers	15	10
Number of working hours per worker per day	8	8
Total output per day (units)	100	100
Percentage of output with quality below standard	10%	5%

Based on the above table, which of the following is a possible reason for the difference between the labour productivity of firm A and firm B?

- A. Firm B provides more training for its workers.
- B. Firm A adopts piece rate while firm B adopts time rate.
- C. Firm B uses less advanced machinery.
- D. Firm A practises a higher degree of division of labour than firm B.

8. In a hospital, which of the following people have the lowest occupational mobility?

- A. doctors
- B. nurses
- C. cleaners
- D. clerks

9. Doctors at public hospitals are usually paid by time rate instead of being paid according to the number of patients they treat because

- (1) it can increase their productivity.
- (2) the cost of measuring their output is very high.
- (3) it can reduce the cost of public hospitals monitoring their treatment quality.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

10. During the COVID-19 epidemic, many airlines cancelled their flights. Which of the following are fixed costs that airlines cannot save by cancelling the flights?
- (1) salary of the flight attendants
 - (2) expenses on purchasing fuel
 - (3) interest on bank loans
 - (4) salary of the accounting staff
- A. (1) and (2) only
 - B. (3) and (4) only
 - C. (1), (2) and (4) only
 - D. (1), (3) and (4) only

11. The following table shows the production plan of a firm. The firm employs two inputs only, namely capital and labour.

Capital (units)	Labour (units)	Total product (units)
5	1	10
5	2	21
5	3	33
5	4	Q_1
5	5	Q_2

Suppose the above data illustrates the law of diminishing marginal returns. Which of the following figures is/are **INCONSISTENT** with the law?

- (1) $Q_1 = 48$; $Q_2 = 60$
 - (2) $Q_1 = 49$; $Q_2 = 69$
 - (3) $Q_1 = 40$; $Q_2 = 38$
- A. (1) only
 - B. (2) only
 - C. (1) and (2) only
 - D. (1) and (3) only
12. After an industrial building is revitalised, many restaurants choose to open in the building, which attracts many customers, and the marketing costs of the restaurants are reduced. In this case, the restaurants in the building
- A. enjoy external economies of scale.
 - B. suffer from external diseconomies of scale.
 - C. enjoy internal economies of scale.
 - D. suffer from internal diseconomies of scale.

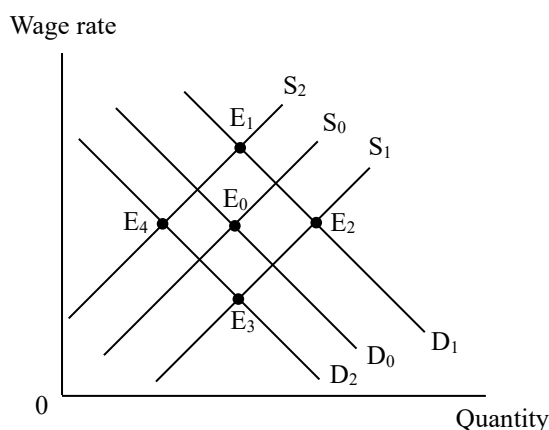
13. The following table shows the cost-output relationship of a price-taking firm.

Output (units)	Average cost (\$)
1	20
2	21
3	22
4	23
5	24

Suppose the market price is \$26. If the fixed cost increases from \$5 to \$10 and the average cost decreases by \$2 for every unit of output, the profit-maximising output will _____, and the profit will _____.

- A. increase ... increase
B. increase ... decrease
C. decrease ... increase
D. decrease ... decrease
14. The government of a country provides a per-unit subsidy on electric cars. Which of the following statements are **CORRECT**?
- (1) If the demand for electric cars is elastic, total sales revenue will increase.
(2) People will buy fewer high-quality electric cars.
(3) The ratio of high-quality electric cars sold to total electric cars sold will decrease.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)
15. The elderly care service sector in Hong Kong faces persistent labour shortages. A 2020 survey showed that there were near 6,000 vacancies in the sector. Which of the following can alleviate the above situation?
- (1) to import more foreign workers
(2) to provide subsidies to employees of the elderly care service sector
(3) to introduce more machines to replace labour
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

16. The diagram below shows the demand-supply diagram for local workers in Country A. E_0 is the initial equilibrium point.



Suppose more local workers decide to retire. At the same time, the government increases the quota for importing foreign workers. The new equilibrium point will be _____.

- A. E_1
- B. E_2
- C. E_3
- D. E_4

17. Read the following news excerpt.

On 19 December 2021, some public transport operators, including those of buses, MTR and trams, offered free rides. A minibus operator revealed that, because minibuses did not offer free rides, their total revenue on that day decreased by 80%.

Which of the following statements are **CORRECT**?

- (1) There was an excess supply of minibus service.
- (2) The demand for the public transport services that offered free rides remained unchanged.
- (3) There was an excess demand for services provided by the public transport operators that offered free rides.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

18. Suppose a per-unit tax is levied on good X. If the demand for good X is _____, and the supply of good X is _____, the consumers' tax burden will be smaller than the producers' tax burden.

- A. perfectly inelastic ... elastic
- B. unitarily elastic ... perfectly elastic
- C. inelastic ... elastic
- D. elastic ... unitarily elastic

19. Refer to the following demand and supply schedules for good X.

Unit price (\$)	10	12	14	16	18
Quantity supplied (units)	10	15	20	25	30
Quantity demanded (units)	30	25	20	15	10

Suppose the government lowers the price ceiling from \$16 to \$12. According to the above table, which of the following statements is **CORRECT**?

- A. The market price will drop to \$14.
- B. The quantity transacted will remain unchanged.
- C. Consumers' expenditure will decrease by \$100.
- D. The surplus of good X will disappear.

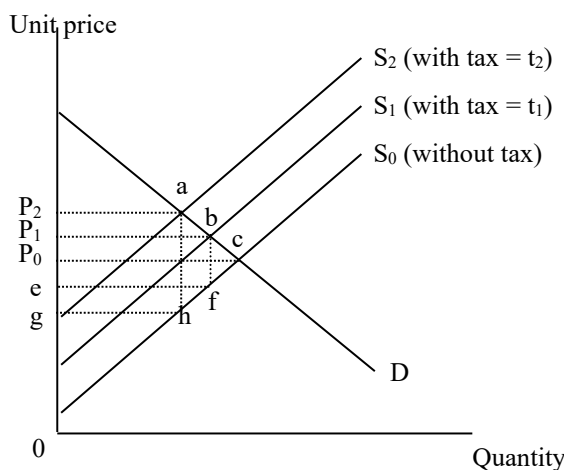
20. Suppose a country abolishes the effective quota on good X, and at the same time good X becomes more popular.

Which of the following statements about the market of good X are **CORRECT**?

- (1) The price may increase or decrease.
- (2) The consumer surplus will decrease.
- (3) Total social surplus will increase.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

21. The following diagram shows the demand and supply curves of good X.



Suppose the per-unit tax on good X decreases from t_2 to t_1 . Which of the following statements are **CORRECT**?

- (1) The change in total tax revenue is area P_1bfe .
- (2) The deadweight loss will decrease by area $abfh$.
- (3) The consumer surplus will increase by area abP_1P_2 .

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

22. According to the Mass Transit Railway By-laws, people who smoke in any part of the railway premises are subject to a \$5,000 fine. Which of the following statements is **CORRECT**?
- The fine causes the quantity of cases of smoking in the railway premises to reach the socially optimal level.
 - The fine increases the marginal private cost of smokers.
 - The fine is a market solution to the divergence between private and social costs.
 - People do not smoke in the railway premises any more.

23. Refer to the following proposals.

Proposal (1): raising the standard tax rate of the salaries tax
 Proposal (2): introducing a progressive rating system for the profits tax
 Proposal (3): raising the amount of Comprehensive Social Security Assistance Schemes

Which of the above proposals help reduce the income gap in Hong Kong without raising the price level?

- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)
24. The table below shows the Gini coefficients of Hong Kong from 2001 to 2016.

	Gini coefficients based on original monthly household income	Gini coefficients based on post-tax post-social transfer monthly household income
2001	0.525	0.470
2006	0.533	0.475
2011	0.537	0.475
2016	0.539	0.473

(Source: Census and Statistics Department, HKSAR Government)

According to the above information, we can conclude that

- the income distribution before government policy intervention became more uneven.
 - the government increased the amount of social transfers to low-income people.
 - the tax system and social transfers in Hong Kong could reduce income inequality.
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)

25. Consider the following Gross Domestic Product (GDP) data of an economy.

GDP components	\$ billion
Private consumption expenditure	200
Government consumption expenditure	X
Gross domestic fixed capital formation	320
Net domestic fixed capital formation	300
Changes in inventories	80
Depreciation	20
Net exports	120
Indirect taxes	60
Direct taxes	50
Subsidies	30
Net factor income from abroad	−10

If the GDP at factor cost is \$1,000 billion, the value of X is _____.

- A. 280
- B. 300
- C. 310
- D. 360

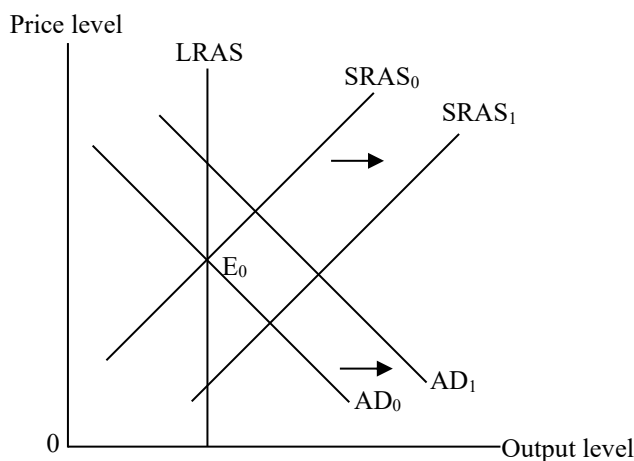
26. Refer to the following information about an economy.

	Growth rate (relative to previous year)
Per capita real GDP	3%
Nominal GDP	0%
Population	−1%

Compared to the previous year, real GDP has _____ and the general price level has _____ in the economy in the current year.

- A. increased ... increased
- B. increased ... decreased
- C. decreased ... increased
- D. decreased ... decreased

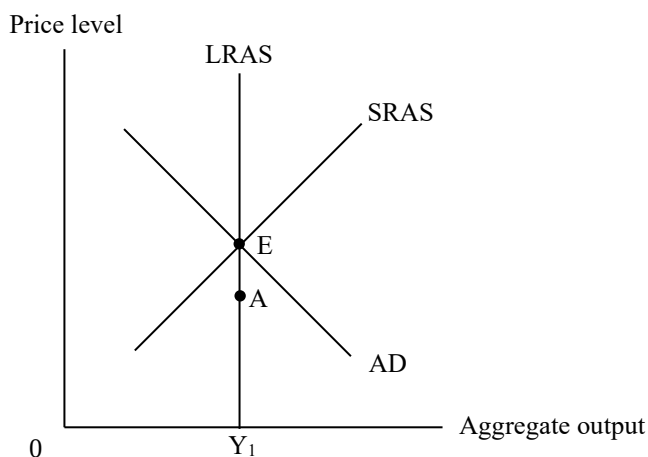
27. The diagram below shows the aggregate demand curve, the short run aggregate supply curve and the long run aggregate supply curve of an economy. The economy is initially at E_0 .



Which of the following can best explain the changes shown in the above diagram?

- A. an increase in government transfer payments and an increase in government expenditure on education
 - B. an increase in the number of tourists and an occurrence of a large-scale strike in the economy
 - C. a decrease in asset demand for money and a decrease in the profits tax rate
 - D. a decrease in the price of raw materials and a decrease in the salaries tax rate
28. Which of the following will cause an economy's price level and aggregate output to increase in the short run?
- A. People's desire to save increases.
 - B. Consumers expect the future price level to increase.
 - C. The money supply decreases.
 - D. The economy's major trading partner experiences a recession.

29. Study the following diagram.



The long run equilibrium point of an economy changes from E to A. Which of the following is a possible reason for the change?

- A. The government reduces the import tariff.
- B. The government distributes cash to citizens.
- C. More residents emigrate overseas.
- D. The cost of production increases.

30. Miss Wong wants to deposit \$100,000 for three months. Which of the following financial institutions in Hong Kong can accept her deposit?
- (1) licensed banks
 - (2) restricted licence banks
 - (3) deposit-taking companies
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
31. Mr. Tai withdraws HK\$100,000 cash from a deposit-taking company. He keeps half of the amount as cash at home and remits the remainder overseas.

What will be the immediate effect of the above actions on the money supply of Hong Kong?

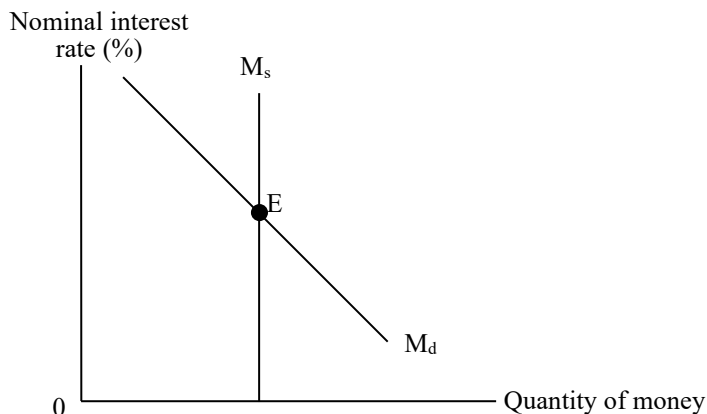
- A. M1 will remain unchanged.
 - B. Both M1 and M2 will increase by HK\$50,000.
 - C. M3 will decrease by HK\$100,000.
 - D. M1, M2 and M3 will decrease by HK\$50,000.
32. Study the following information. Suppose the banks do not hold excess reserves.

	\$ million
Currency in public circulation	20
Monetary base	100
Money supply	420

If the public withdraw \$10 million from the banking system and hold it in cash,

- A. the maximum amount of deposits will be \$350 million.
- B. the money supply will remain unchanged.
- C. the monetary base will increase by \$10 million.
- D. the maximum amount of loans will decrease by \$280 million.

33. The diagram below shows the money demand curve (M_d) and money supply curve (M_s) of an economy. The original equilibrium point is at E.



Suppose the government lowers the discount rate and the liquidity of interest-bearing assets increases. The nominal interest rate _____ and the quantity of money _____.

- A. will increase ... will decrease
 - B. will increase ... may increase or decrease
 - C. will decrease ... will increase
 - D. will decrease ... will decrease
34. Suppose the nominal interest rate of a bond is 3%. If the actual inflation rate is higher than expected,
- A. the nominal rate of return of holding cash will decrease.
 - B. the cost of holding cash will increase.
 - C. the actual real interest rate will be higher than the nominal interest rate.
 - D. the actual real rate of return of the bond will be lower than expected.
35. Suppose the growth rate of the price level is increasing. If the growth rate of the money supply is increasing and is higher than the growth rate of the price level, according to the quantity theory of money,
- (1) nominal output is increasing.
 - (2) real output is increasing.
 - (3) the velocity of circulation of money is decreasing.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
36. Which of the following will most likely cause the unemployment rate of an economy to decrease?
- A. The government relaxes the policy on importing foreign workers.
 - B. The government raises the unemployment benefits.
 - C. There is a decrease in the number of places in post-secondary education.
 - D. More firms expand their businesses.

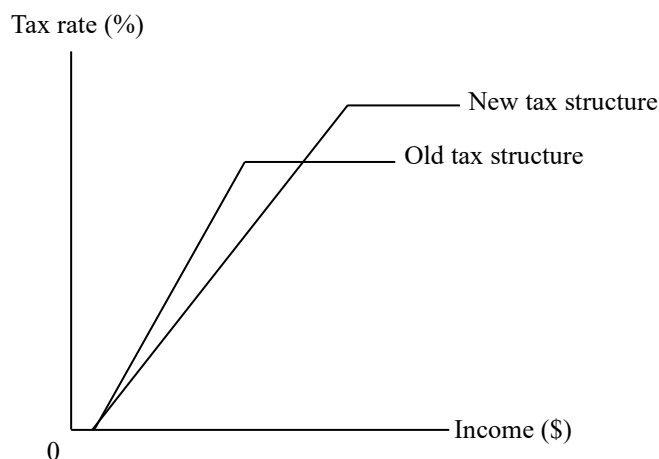
37. Ms. Cheung is a nurse at a private hospital in Hong Kong. She owns a residential unit in the Mainland and receives rental income from leasing it. Recently, she has purchased a first-hand residential unit in Hong Kong and has since lived in it.

According to the above information, which type(s) of tax does Ms. Cheung need to pay to the Hong Kong government?

- (1) property tax
- (2) stamp duty
- (3) salaries tax

- A. (3) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

38. The following diagram shows the change in the salaries tax structure of an economy.



Compared to the old tax system, the new tax system will

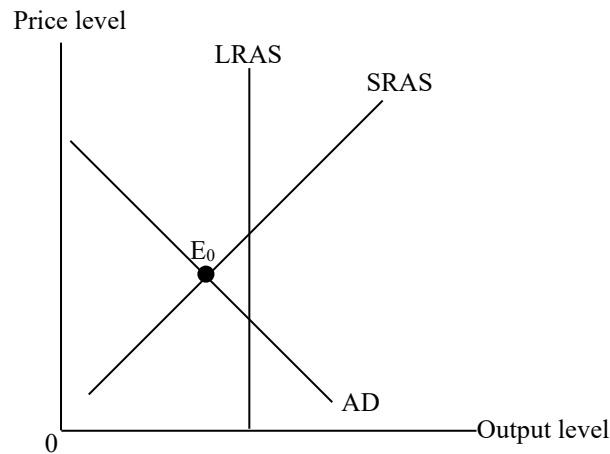
- A. reduce the work incentive of the high-income group.
- B. widen the tax base.
- C. widen the income gap between the rich and the poor.
- D. reduce government tax revenue.

39. If the government imposes a sales tax on most of the goods and services, which of the following would occur?

- (1) Gross domestic product will increase.
- (2) Income distribution will be more uneven.
- (3) The government will have a fiscal surplus.

- A. (2) only
- B. (3) only
- C. (1) and (2) only
- D. (1) and (3) only

40. Refer to the AS-AD diagram below.



The economy operates at E_0 initially. There is a/an _____ and _____ can help restore the economy to its long run equilibrium.

- A. inflationary (output) gap ... an increase in the unemployment benefit
- B. inflationary (output) gap ... an increase in the progressivity of income tax
- C. deflationary (output) gap ... a decrease in the profits tax rate
- D. deflationary (output) gap ... an open market sale of government bonds

41. Country A is facing fiscal deficit and trade deficit. Which of the following may improve the fiscal deficit and trade deficit at the same time?

- (1) an increase in money supply
- (2) a decrease in the basic allowance of the salaries tax
- (3) an appreciation of Country A's currency

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

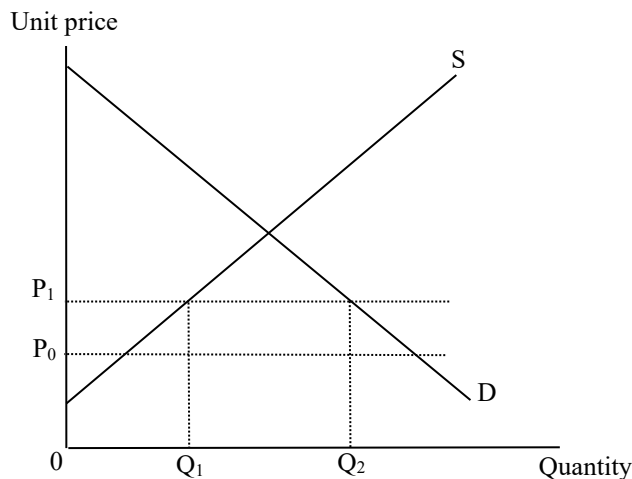
42. The following table shows the amounts of consumption of two goods in Country A and Country B before trade. Assume both countries use half of the resources to produce milk and half of the resources to produce juice.

	Consumption before trade (units)		
	Milk	AND	Juice
Country A	10	AND	20
Country B	10	AND	8

If 1 unit of milk can be exchanged for _____ units of juice, both countries can gain from trade.

- A. 0.5
- B. 0.8
- C. 1.25
- D. 2

43. The diagram below shows the market situation of good X in a small open economy.



P_0 is the world price of the good and the import quota imposed by the government is $(Q_2 - Q_1)$ units. If the world price of the good increases to P_1 ,

- A. the domestic price of the good will remain unchanged.
 - B. the quantity of imports will increase.
 - C. the domestic production of the good will increase.
 - D. the shortage of the good will be eliminated.
44. Refer to the following information about the balance of payments of an economy in a certain year.

Item	\$ million
Exports of goods	50
Imports of goods	10
Exports of services	15
Imports of services	25
Income receivable from abroad	40
Income payable abroad	20
Current transfer received from abroad	10
Current transfer to abroad	25
Decrease in reserve assets	20

According to the above information, which of the following statements are **CORRECT**?

- (1) The economy's gross national income is smaller than its gross domestic product.
- (2) The invisible trade deficit is \$10 million.
- (3) The current account surplus is \$35 million.
- (4) The balance of payments deficit is \$20 million.

- A. (1) and (3) only
- B. (2) and (4) only
- C. (1), (2) and (3) only
- D. (2), (3) and (4) only

45. Under the linked exchange rate system of Hong Kong, which of the following statements are **CORRECT**?
- (1) The monetary base of Hong Kong is fully backed by the US dollars.
 - (2) The market exchange rate of the US dollar against the Hong Kong dollar is fixed at US\$1 = HK\$7.8.
 - (3) If the US dollar depreciates against other currencies, the average price of Hong Kong imports will tend to decrease.
 - (4) If the US dollar depreciates against other currencies, the total value of Hong Kong exports (in terms of the Hong Kong dollar) will increase.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

END OF PAPER